5.1 Introduction to Bitcoin and bitcoin

On May 17, 2010, the first known exchange of ***bitcoin*** for goods took place. Lazlo Hanyecz purchased two pizzas for 10,000 BTC. How did he do this?

In broad terms, ***bitcoin*** is similar to traditional money, but instead of being physical, it exists only on the internet. To use ***bitcoin***, you have to download a program on your computer. When you run the program, it connects to other computers also running the program. They share a file called the ***blockchain*** which is a big list of all the ***bitcoin*** transactions ever made.

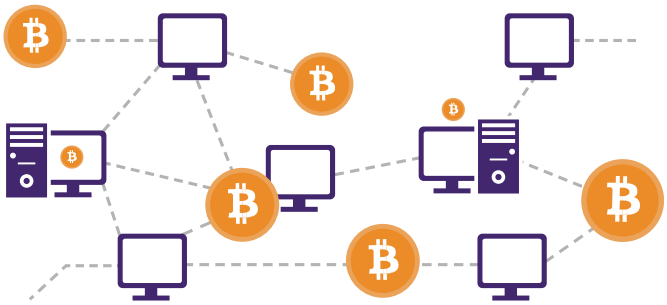
5.1.1 What is bitcoin? What is Bitcoin?

bitcoin (lowercase "b"): It is the digital cash that runs on the ***Bitcoin network***.

It is a ***currency "b"*** that allows people to send and receive payments online. It is called "digital" because, unlike traditional currencies such as the US dollar or the euro which are physical currencies that can be held in your hand, ***bitcoin*** can only be used with the internet.

Bitcoin (capital "B"): It's everything else; the system, the network, the software, the rules, the community... Satoshi's creation.

The ***Bitcoin network*** "B" is made up of computers from all around the world that work together to process and verify transactions. These transactions are registered on the ***blockchain***.

The rules for using ***Bitcoin*** are implemented in the software that runs the ***Bitcoin network*** and followed by all participants in the network. They are designed so that everyone uses Bitcoin in a fair and predictable way.

The community of people who use and support ***Bitcoin*** is made up of individuals, companies, and organizations all around the world. They are the ones who keep the network functional by using and supporting the currency, running the software that powers the network, and contributing to the network's development.